

TOTAL KENYA LIMITED

SUMMARY OF UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2015

STATEMENT OF FINANCIAL POSITION

AS AT	30 Jun 2015 Kshs'000'	31 Dec 2014 Kshs'000'
ASSETS		
Non - current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	9,330,717	9,421,861
Goodwill	416,679	416,679
Deferred tax asset	481,613	463,123
Total non-current assets	10,229,009	10,301,663
Current assets		
Inventories	9,571,533	11,159,064
Trade and other receivables	10,368,289	10,582,108
Cash and cash equivalents	3,891,877	498,965
Total current assets	23,831,699	22,240,137
TOTAL ASSETS	34,060,708	32,541,800
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	4,567,903	4,483,132
Total equity	16,510,194	16,425,423
Non-current liabilities		
Trade and other payables	1,216,208	1,192,167
Current liabilities		
Trade and other payables	16,022,761	7,583,792
Short term borrowings	311,545	7,340,418
Total current liabilities	16,334,306	14,924,210
TOTAL EQUITY AND LIABILITIES	34,060,708	32,541,800

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED	30 Jun 2015 Kshs'000'	30 Jun 2014 Kshs'000'
Gross sales	64,097,397	90,400,855
Indirect taxes and duties	(8,358,076)	(7,648,636)
Net sales	55,739,321	82,752,219
Cost of sales	(52,603,913)	(79,436,274)
Gross profit	3,135,408	3,315,945
Other income	265,000	237,874
Operating expenses	(2,386,581)	(2,330,987)
Finance income/costs - Net	68,911	(141,383)
Net foreign exchange loss	(191,015)	(42,276)
Profit before tax	891,723	1,039,173
Tax charge	(366,272)	(408,039)
Profit for the period	525,451	631,134
Other comprehensive income, net of tax	-	-
Total comprehensive income for the period	525,451	631,134
Earnings per share (basic and diluted) (Kshs)	0.83	1.00

COMMENTS

Sales volumes decreased by 4% from 851 KMT in 2014 to 815 KMT in 2015 resulting from lower bulk sales to other oil marketing companies in the first half of the year. The company retained an inland market leadership position at 20%.

Net sales decreased by 33% mainly due to drop in international oil prices coupled with decrease in sales volume.

Gross profit was lower than last year by 5% due to increase in variable costs resulting from inflation and the stock effect due to the volatility in international oil prices.

Operating expenses increased by 2% (Kshs 56 million) compared to an average inflation of 6.4%. Finance income of Kshs 68 million in 2015 resulted from effective cash management and a positive cash position in Kenya Shillings.

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30 Jun 2015 Kshs'000'	30 Jun 2014 Kshs'000'
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated/used in operations	11,437,551	(10,890,184)
Tax paid	(587,085)	(458,005)
Net cash generated / used in operating activities	10,850,466	(11,348,189)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(516,713)	(500,468)
Proceeds on disposal of property, plant and equipment	19,121	9,006
Net cash used in investing activities	(497,592)	(491,462)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(18,984)	(141,383)
Interest earned	87,895	-
Net cash generated/used in financing activities	68,911	(141,383)
Net increase/ decrease in cash and cash equivalents	10,421,785	(11,981,034)
CASH AND CASH EQUIVALENTS		
As at 1 January	(6,841,453)	2,484,875
As at 30 June	3,580,332	(9,496,159)

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE 2015	Share Capital Kshs'000'	Share Premium Kshs'000'	Retained Earnings Kshs'000'	Total Equity Kshs'000'
As at 1 January 2014	9,974,771	1,967,520	3,436,769	15,379,060
Declared dividends - 2013	-	-	(377,725)	(377,725)
Profit for the six months period	-	-	631,134	631,134
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	631,134	631,134
As at 30 June 2014	9,974,771	1,967,520	3,690,178	15,632,469
As at 1 January 2015	9,974,771	1,967,520	4,483,132	16,425,423
Declared dividends - 2014	-	-	(440,680)	(440,680)
Profit for the six months period	-	-	525,451	525,451
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	525,451	525,451
As at 30 June 2015	9,974,771	1,967,520	4,567,903	16,510,194

Profit before tax of Kshs 891 million was realised in the period compared to Kshs 1 billion in the same period in 2014. Net profit for the year was Kshs 525 million (2014: Kshs 631 million).

The company maintained a very strong financial position with a growth in total assets by Kshs 1.5 billion.

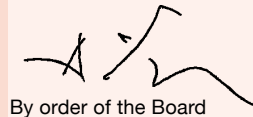
Investments totalling Kshs 517 million were made in the period compared to Kshs 500 million in the same period in 2014, representing an increase of 3% in line with the strategy to develop the business and safety standards.

DIVIDENDS

The Directors do not recommend payment of an interim dividend.

OUTLOOK

The macroeconomic environment remains challenging with the continued volatility of petroleum prices and depreciation of the local currency against the US dollar. However, the Board is optimistic that with the planned investments and strategies in place, the performance for the second half of the year shall remain positive.


 By order of the Board

Ada EZE
 Managing Director
 August 26, 2015